

CASE STUDY
Balfour vs Balfour (1919)

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Introduction:

The case of **Balfour vs Balfour (1919)** is one of the most famous and important cases in the history of contract law. It was decided by the Court of Appeal in England and is still referred to by judges, lawyers, teachers, and law students today. This case introduced an important legal principle known as the "intention to create legal relations." It explains that not every promise made between two people becomes a legally enforceable contract. For an agreement to become a valid contract, the parties must intend that the agreement should have legal consequences.

The case involved a husband and wife who made an agreement about financial support while they were living apart for medical reasons. Later, when their relationship broke down, the wife asked the court to enforce the husband's promise. The court had to decide whether the promise was simply a family arrangement or whether it was a legally binding contract.

The judgment given in this case changed the way courts deal with agreements between family members. It established that agreements made in a normal domestic relationship are usually based on love, trust, and affection rather than legal obligations. Therefore, such agreements are generally not enforceable in court unless there is clear evidence that both parties intended to create legal relations.

Even after more than one hundred years, this case remains one of the foundations of contract law and is studied in business law, legal studies, and commerce courses throughout the world.

Facts of the Case:

Mr. Balfour was employed as a civil engineer by the Government in Ceylon, which is now known as Sri Lanka. He and his wife, Mrs. Balfour, were living together happily in Ceylon for several years. In 1915, they travelled to England for a vacation and to visit their family members.

While they were in England, Mrs. Balfour became seriously ill. After examining her health, the doctors advised her not to return to Ceylon because the hot tropical climate could worsen her condition. As a result, it was decided that she should stay in England until she fully recovered.

Mr. Balfour, however, had to return to Ceylon because his employment required him to continue his work. Before leaving England, he promised his wife that he would send her £30

every month to cover her living expenses until she was healthy enough to join him. Mrs. Balfour accepted this arrangement and remained in England, believing that her husband would continue to support her financially.

For some time, Mr. Balfour regularly sent the agreed monthly allowance. However, after a period of time, their marital relationship became unhappy. Misunderstandings developed between them, and they eventually separated. After the separation, Mr. Balfour stopped sending the monthly payments.

Mrs. Balfour depended on this money for her daily expenses and believed that her husband's promise created a legal obligation. Since he stopped paying, she decided to bring a legal action against him in court, asking the court to order him to continue paying the promised amount.

The dispute finally reached the Court of Appeal, where the judges had to decide whether the husband's promise was legally enforceable.

Legal Issue:

The main legal issue before the Court was whether the agreement between Mr. and Mrs. Balfour amounted to a valid contract under contract law.

The judges had to determine whether the husband's promise to pay his wife £30 every month was merely a domestic arrangement or a legally binding agreement. Although there was a promise and the wife relied upon it, the court needed to decide whether both parties intended to create legal obligations when the promise was made.

Another important question before the court was whether agreements made between husband and wife during a normal marriage should automatically be treated as contracts. If every family promise became legally enforceable, courts would have to deal with countless domestic disputes involving household expenses, gifts, or family support.

Therefore, the central issue was whether there was an intention to create legal relations, which is one of the essential elements of a valid contract.

Judgment of the Court:

The Court of Appeal delivered its judgment in favour of Mr. Balfour. The judges held that the agreement between husband and wife was not a legally enforceable contract because there was no intention to create legal relations.

The court observed that agreements made between husband and wife while they are living together peacefully are generally domestic arrangements. Such agreements are usually made out of love, trust, affection, and mutual understanding. They are not intended to give either party the legal right to sue the other if the promise is not fulfilled.

The judges explained that the law does not interfere in ordinary family arrangements unless there is clear evidence showing that both parties intended the agreement to have legal consequences.

Although Mr. Balfour had promised to pay the monthly allowance and had even made several payments, the court held that this alone was not enough to create a legally binding contract.

The court concluded that Mrs. Balfour could not legally enforce her husband's promise because the essential requirement of intention to create legal relations was missing.

This judgment became one of the most influential decisions in contract law and established an important legal rule that continues to be followed by courts around the world.

Legal Principle:

The most important legal principle established in **Balfour Vs Balfour** is that an agreement is not a valid contract unless both parties intend to create legal relations.

The case created a legal presumption that agreements made in a domestic or family setting are generally not intended to have legal consequences. Therefore, such agreements are usually not enforceable by courts.

This principle does not mean that family members can never enter into legally binding contracts. If there is clear evidence that both parties intended to create legal obligations, then the agreement may still be enforceable.

The case also highlighted one of the essential elements required for a valid contract. These elements include:

- Offer

- Acceptance
- Consideration
- Capacity of parties
- Free consent
- Intention to create legal relations

If any one of these essential elements is absent, the agreement may not become a legally enforceable contract.

This principle continues to be applied in modern contract law and helps courts distinguish between social agreements and commercial agreements.

Business Relevance:

The decision in **Balfour Vs Balfour** has great importance not only in contract law but also in the business world. It helps businesses understand that a valid contract requires more than just a promise. There must be a clear intention that both parties wish to create legal obligations.

In commercial transactions, the law generally assumes that both parties intend their agreements to be legally binding because businesses operate for profit and rely on contracts to protect their interests.

This case teaches business owners, employers, employees, suppliers, customers, and investors that properly drafted contracts are essential for avoiding misunderstandings and legal disputes.

The case also helps distinguish business agreements from family or social arrangements. While family promises are usually based on trust and affection, business contracts are based on legal rights and responsibilities.

Today, companies prepare written agreements, employment contracts, partnership agreements, sales contracts, service agreements, and supplier contracts to clearly express their intention to create legal relations. This reduces the possibility of disputes and provides legal protection to all parties. For students of commerce and business law, this case provides a strong foundation for understanding why intention is one of the most important elements of every commercial contract.

Conclusion:

The case of **Balfour Vs Balfour (1919)** remains one of the most significant landmark decisions in contract law. It established that ordinary agreements made between husband and wife during a normal domestic relationship are generally not intended to create legal relations and therefore are not legally enforceable.

The judgment introduced an important legal principle that continues to guide courts in deciding whether an agreement is a valid contract. It protects family relationships from unnecessary legal disputes while ensuring that commercial agreements receive proper legal recognition.

Even after more than a century, this case continues to influence contract law across many countries. Lawyers, judges, business professionals, and students still study it because it clearly explains the importance of intention to create legal relations. The decision has become a cornerstone of modern contract law and remains highly relevant in both legal and business practice.